

Table 23.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	74% up	26% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 40%, M 40%, H 35%	L -19%, M -22%, H -14%
Throwbacks/pullbacks occurrence	52%	67%
Average time to throwback/pullback peaks	7% in 5 days	-8% in 5 days
Average time to throwback/pullback ends	12 days	13 days
Average rise/decline for patterns with throwbacks/pullbacks	33%	-16%
Average rise/decline for patterns without throwbacks/pullbacks	47%	-26%
Percentage price resumes trend	66%	46%
Performance with breakout day gap	51%	-20%
Performance without breakout day gap	37%	-19%
Average gap size	\$0.37	\$0.53

Table 23.5 shows statistics related to size.

Height. Tall diamonds perform better than short ones. To use this result, compute the diamond height by subtracting the lowest low in the diamond from the highest high and then dividing by the breakout price (the point where price closes outside the diamond trendline boundary). If the result is larger than the median listed in the table, then you have a tall pattern.

Width. Wide diamonds perform better than narrow ones but only after an upward breakout. Downward breakouts show no preference. I used the median length as the separator between narrow and wide.

Height and width combinations. For upward breakouts, tall diamonds outperform and wide ones also outperform. You'd think it obvious that diamonds both tall and wide would perform best. However, tall and narrows